TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

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Chalmers rules out fuel relief as inflation bites

> Treasurer Jim Chalmers called the 4.3% result too high but argued the budget is not the main cause of inflation. He flagged savings, rather than new relief, in the December mid-year budget update.

WHAT HAPPENED

- Chalmers blamed mainly the **Middle East war** and strong **private investment** such as data centres. He said the government accepts its share of the fight against inflation and takes responsibility for its fiscal settings.
- He **played down a return of the fuel excise discount** despite rising petrol prices, saying the budget cannot afford to keep doing that.
- He said cost-of-living relief must be balanced against budget, household and economic pressures so it does not become **counterproductive** by adding to demand.
- He said **more savings measures** will come in the Mid-Year Economic and Fiscal Outlook (MYEFO) in December.
- Shadow Treasurer **Tim Wilson** said the government is driving up underlying inflation and pushing the RBA towards a hike. He called for a fuel discount paid for by further spending cuts.

Key terms: fiscal stance · MYEFO · policy mix · fuel excise

BY THE NUMBERS

4.3%
Annual CPI, September 2026

Dec
MYEFO: savings measures flagged

4.60%
Cash rate, with a hike to 4.85% expected

No
Return of the fuel excise discount, for now

COMPARE — Two views on fiscal policy and inflation

Government (Chalmers)

- The budget is not the "primary driver" of inflation.
- The causes are global energy shocks and a private investment boom.
- No fuel discount: the budget cannot afford it.
- Savings in the December MYEFO.

Opposition (Wilson)

- Government spending is lifting underlying inflation.
- That forces the RBA to raise rates further.
- Bring back a fuel discount, but pay for it with spending cuts.

Exam angle: the **policy mix** matters. If fiscal policy stays expansionary while the RBA tightens, interest rates must rise further to achieve the same fall in demand. Note too that a fuel discount lowers *measured* CPI only temporarily, while it adds to demand.

SYLLABUS LINK

Topic 4 – Fiscal policy: budget stance, MYEFO, cost-of-living measures and the interaction between fiscal and monetary policy (the policy mix).

TRY THIS

Discuss whether fiscal policy should be tightened to support the Reserve Bank in reducing inflation. **(5 marks)**

ABC News, 'Jim Chalmers resists blame for another high inflation result', 28 Oct 2026 – https://www.abc.net.au/news/2026-10-28/chalmers-downplays-further-fuel-discounts-amid-high-inflation/10731 9372

AAP via Junee Southern Cross, 'November rate hike a lock after "ugly" inflation result', 28 Oct 2026 – https://www.juneesoutherncross.com.au/story/9381176/november-rate-hike-a-lock-after-ugly-inflat ion-result/